

VISTRA CORP.

(NYSE: VST)

The Data-Center Power Trade — Priced for PPAs That Haven't Been Signed

REDUCE — \$120.00 Target

Equity Research Note · Utilities — Independent Power Producer · October 4, 2026

Recommendation	12-Mo. Price Target	Current Price	Implied Downside	Risk Rating
REDUCE	\$120.00	\$140.02	-14.3%	Medium-High

Current price as of October 2, 2026 close.

Snapshot

Market cap	~\$47 bn (~335M sh × \$140.02)	Energy Harbor	Acquired 2024 — nuclear baseload core
Net debt	~\$19 bn (Energy Harbor leverage)	Data-center angle	Hyperscaler PPAs; PJM capacity prices surging
Enterprise value	~\$66 bn	Dividend / buyback	Growing dividend; large buyback program
52-week range	~\$132.66 – \$217.10	Next catalyst	Q3'26 results; new PPA announcements; PJM auction
Generation fleet	~41 GW (nuclear, gas, coal, solar)		

1 Investment Thesis

Vistra is the purest public play on the AI era's most binding constraint — electricity. The company's ~41-gigawatt fleet, anchored by the Energy Harbor nuclear assets acquired in 2024, sells baseload power into markets where data-center demand is growing faster than new supply can be permitted and built. Hyperscalers are signing long-term power purchase agreements at prices that would have been unthinkable three years ago, and PJM capacity auction prices have surged on the same supply-demand imbalance. The strategic position is genuinely excellent. The stock at \$140.02 is priced as though the excellent position were already fully contracted. It is not.

Our judgment, and the reason this is a REDUCE, is that the market has capitalized a PPA pipeline that exists mostly in press releases. The data-center power thesis requires three things to compound for a decade: hyperscaler demand growing as projected, Vistra capturing a disproportionate share of the incremental contracting, and realized power prices holding at elevated levels rather than mean-reverting as new supply eventually arrives. All three are plausible; none is contracted. Our scenarios are \$26 / \$124 / \$212, weighted to a \$120 target, 14.3% below the quote. The base case (\$123.6) already assumes the good version: 3.0% revenue CAGR, data-center PPAs layering in through the decade, FCF margins holding in the low-20s. Even that good version is worth less than the current price.

The bear case (\$26.1) is the merchant-power cycle that the AI narrative has buried. Independent power producers are cyclical: when power prices fall — a mild winter, a demand disappointment, new supply clearing — revenue and margins compress simultaneously, and the ~\$19 billion of net debt from the Energy Harbor acquisition turns operating leverage into financial leverage. Bear assumes 0.5% revenue CAGR, power prices normalizing, and the data-center premium evaporating. This is not a stress-test invention; it is what merchant power has done in every prior cycle. At \$140.02, investors are paying a growth multiple for a cyclical merchant generator at peak narrative.

The forward view that matters: Vistra's nuclear baseload is a genuinely scarce, genuinely valuable asset in an electricity-short decade, and the company will likely sign meaningful data-center PPAs. But scarcity value accrues over decades, and the stock is pricing a decade of it in the next twelve months. We would own this fleet at a price that

compensates for merchant cyclicalities. That price is around \$120, not \$140. REDUCE into the AI-power enthusiasm; the electrons are real, the capitalization is premature.

Why the electrons are real and the price is premature

- **The fleet is genuinely scarce.** ~41 GW anchored by Energy Harbor nuclear — baseload that cannot be built new on any relevant timeline. In an electricity-short decade, that scarcity has real option value.
- **But PPAs are announcements, not annuities.** The data-center power thesis requires a decade of hyperscaler contracting at elevated prices. Signed, long-tenor PPAs at attractive economics are the validation — and most of the pipeline is not yet signed.
- **Merchant cyclicalities is the base rate.** Independent power producers are cyclical; ~\$19B of net debt turns a power-price downturn into an equity event. The AI narrative does not repeal the merchant cycle.
- **The price is the bull case.** Our base case grants the good version — 3.0% CAGR, PPAs layering in — and is worth \$123.6. The market at \$140.02 is paying for the bull's \$212.2 world.

2 Business Overview — What Vistra Corp. Is Doing

(Irving, Texas; CEO Jim Burke)

Vistra (Irving, Texas) is one of the largest independent power producers in the United States, operating ~41 gigawatts of generation — nuclear, natural gas, coal, and solar — plus a large retail electricity business (TXU Energy and others). The 2024 acquisition of Energy Harbor added ~4 GW of nuclear baseload (including the Davis-Besse and Perry plants), transforming the fleet's carbon and cost profile and positioning the company as the natural counterparty for hyperscalers seeking clean, firm power.

Fiscal 2025 produced revenue of \$17.74 billion with free cash flow of \$1.32 billion — the FCF number depressed by working capital and capex timing, a reminder of the business's lumpiness. Revenue history shows the merchant volatility plainly: \$13.73B (2022), \$14.78B (2023), \$17.22B (2024, Energy Harbor), \$17.74B (2025); free cash flow swung from −\$0.82B to +\$3.78B to +\$2.48B to +\$1.32B over the same period. This is not a steady-eddie utility; it is a merchant generator with a retail hedge.

The forward picture is the data-center contracting story. Hyperscalers need firm, clean power on timelines that new build cannot meet; Vistra's nuclear and gas fleet can. Each long-term PPA signed at premium economics converts merchant volatility into contracted cash flow — the bull case's mechanism. But the conversion is gradual, the competition for hyperscaler contracts is intense (Constellation, Talen, and regulated utilities all bid), and realized economics depend on power prices that are currently elevated by the same imbalance the PPAs would lock in.

What the company is doing now

- **~41 GW fleet, nuclear-anchored.** Energy Harbor (2024) added ~4 GW of nuclear baseload — the scarce asset in the AI-power story; clean, firm, and unbuildable on relevant timelines.
- **Retail hedge (TXU Energy).** The retail book dampens merchant volatility but does not eliminate it — wholesale price swings still flow through.
- **Data-center PPA pipeline.** Hyperscaler contracting is the growth story; signed long-tenor PPAs at premium economics are the validation metric.
- **~\$19B net debt.** Energy Harbor leverage turns the merchant cycle into a financial-leverage story on the downside.

3 Financial Analysis

\$ bn	FY2022	FY2023	FY2024	FY2025
Revenue	13.73	14.78	17.22	17.74
YoY growth	—	+8%	+17%*	+3%
Free cash flow	−0.82	3.78	2.48	1.32

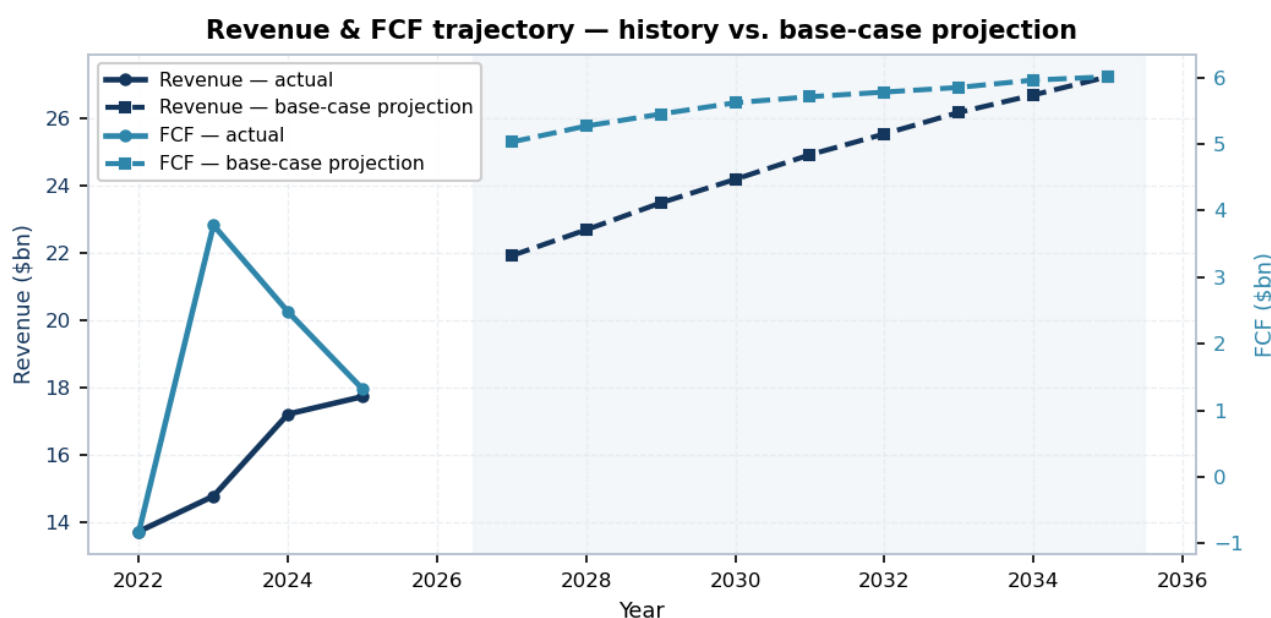
\$ bn	FY2022	FY2023	FY2024	FY2025
FCF margin	−6.0%	25.6%	14.4%	7.4%
Net debt	—	—	~\$19	~\$19

Sources: company filings; annuals via yfinance. *FY2024 includes the Energy Harbor acquisition. FY2026E: \$21.1B revenue, \$4.8B FCF (model anchors).

The financial signature is merchant lumpiness: revenue \$13.73B → \$14.78B → \$17.22B → \$17.74B (2022–2025) looks steady, but free cash flow swung from −\$0.82B to +\$3.78B to +\$2.48B to +\$1.32B — the business converts unevenly and invests heavily. Our model normalizes this: FY2026E FCF of \$4.77 billion on \$21.09 billion of revenue (22.6% margin), compounding to \$6.01 billion by 2035 as the PPA book builds. The base case assumes the lumpiness dampens; the bear case assumes it does not.

The balance sheet is the risk: ~\$19 billion of net debt against a ~\$47 billion market cap — roughly 29% of enterprise value. In the base case the debt amortizes against contracted cash flows; in the bear case it is the mechanism that turns a power-price downturn into an equity event. The dividend is growing and the buyback program is large, but both are subordinate to deleveraging if the cycle turns. This is a Medium-High risk rating earned by leverage on top of merchant cyclicity.

Revenue & cash-flow trajectory

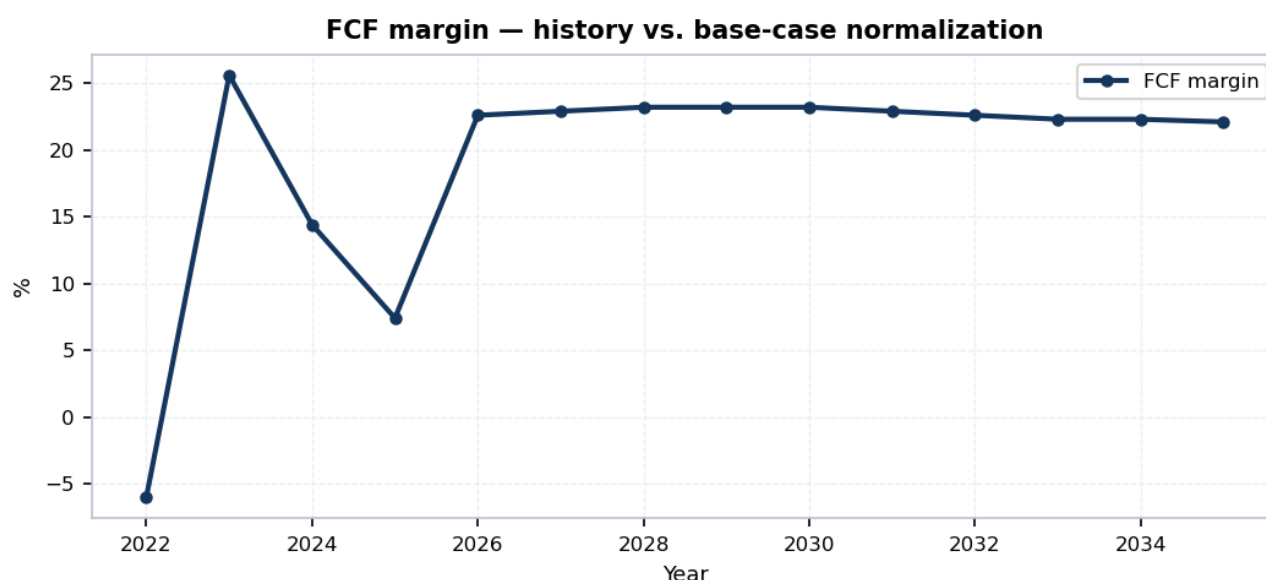


History: company filings via yfinance (note the merchant lumpiness in FCF). Projection: base-case series from the scenario DCF (FY2026E anchor \$21.1B revenue; 3.0% 10-yr CAGR; FCF margin in the low-20s).

4 Moat & Competition

- **Nuclear baseload scarcity.** Energy Harbor's reactors are clean, firm power that cannot be replicated on hyperscaler timelines — the structural asset in the AI-power story.
- **Scale and retail integration.** ~41 GW of diversified generation plus the TXU retail book gives Vistra load-matching and hedging capabilities smaller IPPs cannot replicate.
- **The moat's limit is the commodity.** Electrons are fungible; in a power-price downturn, even nuclear fleets earn less. Scarcity value is real but cyclical.
- **Leverage as anti-moat.** ~\$19B of net debt means the equity's downside in a merchant downturn is amplified — the capital structure works against shareholders when the moat is tested.

FCF margin — history vs. base-case normalization



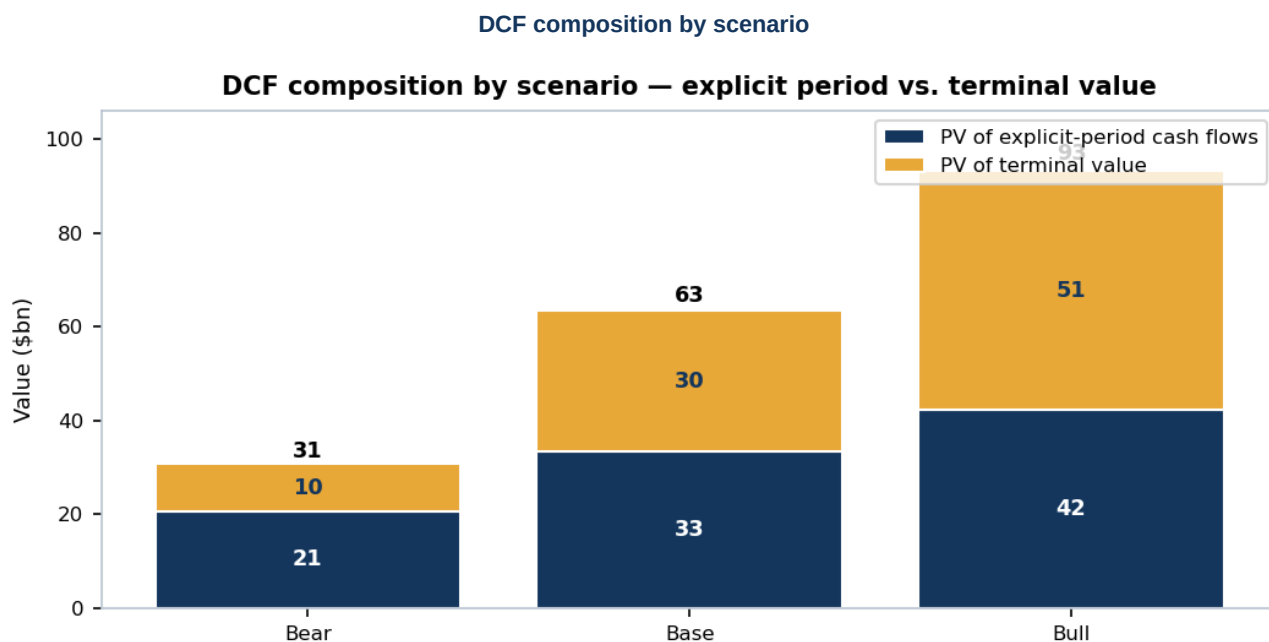
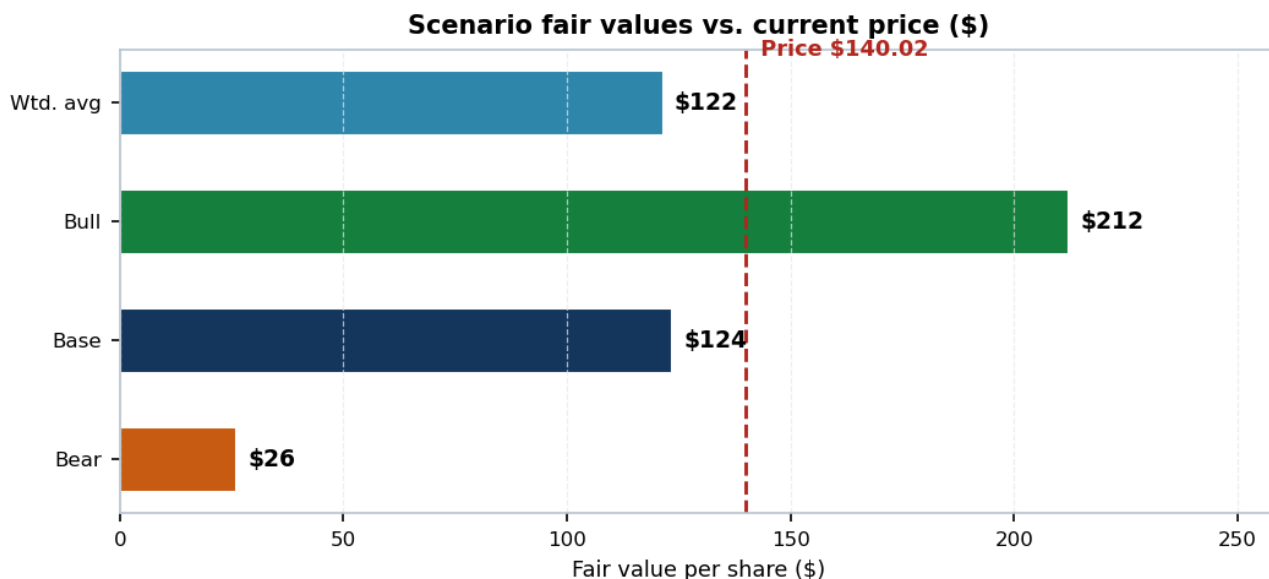
5 Valuation — 10-year scenario DCF (FY2026–FY2035), Fair Value \$120

We value Vistra on a 10-year explicit DCF of free cash flow (FY2026–FY2035), weights bear 25% / base 50% / bull 25%. Scenario discounts: base 10.0% (contracted-cash-flow growth, merchant cyclical, leverage), bear 12.5% (base + 250bp), bull 8.5% (base – 150bp). Terminal growth 1.5% / 2.5% / 2.0% on year-10 FCF at through-cycle margins (19% / 22% / 24%) — never peaks. Revenue CAGRs: bear 0.5% (power-price normalization), base 3.0%, bull 4.1%. Equity = firm EV – ~\$19B net debt (EVs: \$30.7B / \$63.5B / \$93.2B), over ~335M shares. Terminal value is 33–55% of EV across scenarios — within discipline, no haircut required.

Scenario	Key assumptions	Rev CAGR	End margin	Discount / term. g	TV share	Fair value
Bear	Merchant-power reversion: power prices normalize, the data-center premium evaporates; 0.5% revenue CAGR; FCF margins compress to 19%; \$19B of debt amplifies the equity downside	+0.5%	19%	12.5% / 1.5%	33%	\$26.10
Base	The good version: 3.0% revenue CAGR; data-center PPAs layer in through the decade; FCF margins hold in the low-20s; debt amortizes against contracted cash flows	+3.0%	22%	10.0% / 2.5%	47%	\$123.60
Bull	The electricity shortage is a decade: 4.1% revenue CAGR; hyperscaler demand compounds; Vistra captures disproportionate PPA share; power prices hold elevated; 24% terminal FCF margins	+4.1%	24%	8.5% / 2.0%	55%	\$212.20
Wtd. avg	Probability-weighted (25/50/25) → \$120.00 target					\$120.00

$0.25 \times \$26.1 + 0.50 \times \$123.6 + 0.25 \times \$212.2 = \$121.5 \rightarrow \$120$ target (rounded to the published fair value). Bear meets all hurt conditions (price normalization, margin compression, 25%+ derating).

Scenario fair values vs. current price (\$)



Stacked bars show the present value of explicit-period cash flows (dark) versus the present value of the terminal value (gold), in \$bn. A heavy terminal-value share means the call rests on the long run, not the forecast window.

6 Risks & Falsification

Key risks

- **Power-price normalization (the #1 risk).** Merchant revenue follows power prices; a mild demand outcome or new supply clearing compresses revenue and margins simultaneously.
- **Leverage.** ~\$19B of net debt turns a merchant downturn into an equity event; deleveraging depends on the contracted cash flows materializing.
- **PPA execution.** The pipeline is mostly announcements; competition from Constellation, Talen, and regulated utilities is intense, and realized economics are unproven at scale.
- **New supply.** Gas turbines, uprates, batteries, and eventually new nuclear do arrive — the shortage is real but not permanent.

- **Regulatory / political.** Power markets are politically sensitive; capacity-market rule changes or price interventions can move economics quickly.
- **Retail margin pressure.** The TXU book hedges wholesale exposure but faces its own competitive and bad-debt dynamics.
- **Valuation.** At \$140.02 the stock prices the bull case — any PPA disappointment or power-price softness reprices toward the base (\$123.6).

What would change our mind

The base case's PPA-conversion assumption would be withdrawn if no material long-tenor PPAs are signed over the next two quarters, or if forward power curves fall 20%+ — at that point the bear case (\$26.1) becomes the working assumption. Conversely, signed long-tenor PPAs at disclosed premium economics would validate the bull path and we would revisit upward. Watch: PPA announcements (tenor and pricing disclosed), PJM capacity auction results, forward power curves.

7 Methodology

We value the business on a 10-year explicit DCF of free cash flow (bear 25% / base 50% / bull 25%). Revenue follows the scenario path (bear 0.5% / base 3.0% / bull 4.1% 10-year CAGR, with power-price normalization in the bear case); free-cash-flow margin moves to the scenario's through-cycle margin (19% / 22% / 24%) over the horizon. Discount rates: base 10.0%, bear +250bp (12.5%), bull –150bp (8.5%). Terminal growth (1.5% / 2.5% / 2.0%) applies to year-10 FCF at the scenario's through-cycle margin. Equity = firm EV – ~\$19B net debt; divided by ~335M shares. Bear cases must be genuinely adverse and sit below the current price. The published target is the probability-weighted fair value, stated as a 12-month horizon reference.

Risk ratings (Low / Medium / Medium-High / High) combine business-model volatility, the balance sheet, and the valuation. This note is independent research-style analysis for informational purposes only and is not investment advice. Financial figures are drawn from company releases and SEC filings; market data as of October 2, 2026. Projections and the price target are the author's estimates and involve uncertainty. Past performance does not predict future results.

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